



Control

Chapter 10

Learning Objectives

After studying this chapter, the students are expected to:

- understand the meaning, process, types, purpose, nature, essentials, and tools and techniques of control ;
- know the potential barriers to successful controlling and overcoming them.



Meaning of Control

Control involves development of performance standards or indicators, measuring the actual performance and taking corrective actions if any deviation exists between the standard and actual performance. It is also called performance evaluation.



Process of Control System

The process of control system includes a number of interlinked activities.

1. Determine the area of control
2. Set control standards
3. Measure actual performance
4. Compare actual performance with standards
5. Determine the reasons of deviations
6. Take corrective action
7. Feedback



Types of Control Systems

There are different types of controls based on focus of control and timing of control.

A. On the Basis of Focus

- Input control
- Behavioral control
- Output control

B. On the Basis of Timing

- Feed forward/pre/input control
- Concurrent/process/throughput control
- Feedback/post/output control



Purpose /Importance of Control System

The following are the purpose or importance of a control system.

1. Cope the environmental dynamism
2. Accomplish organizational goals
3. Improve efficiency
4. Facilitate coordination
5. Add value
6. Facilitate delegation
7. Maintain discipline
8. Guide future actions
9. Effective supervision



Characteristics of Effective Control System

A control system has the following characteristics.

1. A management function
2. Continuous process
3. Plan/guidelines oriented
4. Corrective action
5. An end function
6. Dynamic and pervasive function
7. Focus on key performance
8. Forward looking activity



Essentials of Effective Control System

The following are the some of the essentials of effective control system.

1. Economical
2. Timeliness
3. Provide true picture
4. Action oriented
5. Foster mutual understanding, trust, and common sense
6. Simplicity
7. Convincing
8. Objective oriented
9. Flexible
10. Future oriented



Control Tools and Techniques

There are a number of tools and techniques used for control. Some major ones are listed below.

1. Direct supervision
2. Budgetary control
3. Break even analysis
4. Return on investment (ROI)
5. Responsibility accounting
6. Management audit
7. Management information system (MIS)
8. Balanced scorecard



Potential Barriers to Successful Controlling (Resistance to Control)

The following are some of the potential barriers to successful controlling.

1. Over control
2. Inappropriate focus
3. Rewards for inefficiency
4. Too much accountability
5. Moral pressure



Overcoming Resistance to Control

There are different ways overcoming resistance to control. They are discussed below.

1. Create effective control system
2. Encourage participation
3. Develop verification procedures
4. Change employees' attitude
5. Take corrective action
6. Encourage check and balance mechanism
7. Education and communication

